



CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

MANAGEMENT OF BUSINESS

UNIT 2 – Paper 02

2 hours 30 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of **THREE** questions. Answer **ALL** questions.
2. Write your answers in the spaces provided in this booklet.
3. Do **NOT** write in the margins.
4. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
5. If you use the extra page(s) you **MUST** write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Tech Plus is a computer store that builds and repairs computers. The business prides itself on providing customers with high quality services. In 2015, Tech Plus expanded its services to include the repair of all types of mobile devices. The repair of mobile devices was proving to be more profitable than the repair of computers and as such, the company began to pay less attention to the computer aspect of the business. As a result, certain dimensions of quality were overlooked and overall production rates began to fall. Falling production rates led to loss of profits. The profitability problem was further compounded by increased indirect costs.

1. (a) Define EACH of the following terms:

(i) Indirect cost

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[2 marks]

(ii) Productivity

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[2 marks]

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[12 marks]

Total 25 marks

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MODULE 2: FUNDAMENTALS OF MARKETING

Caribbean Roots is a casual wear clothing design and manufacturing business owned and operated by two brothers, Elijah and Malique. There has been a steady decline in sales over the past two years. The brothers have decided to conduct market research within their target market in order to better understand customer buying behaviour. The results of the survey revealed that the personal selling sales promotion strategy would lead to an increase in the volume of sales.

2. (a) Define EACH of the following terms:

(i) Market research

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[2 marks]

(ii) Target market

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[2 marks]

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- Discuss THREE challenges that Caribbean Roots could face if the brothers decided to adopt internet marketing.**

[illegible]

[illegible]

1

MODULE 3: SMALL BUSINESS MANAGEMENT

3. Peter and his father, Alexander, own and operate The Good Stuff, a small business that produces desks and chairs for the two privately-owned high schools in the parish of Elsmere. Elsmere is located in the Caribbean island of Cuza. The father and son execute all the functions of the business. Because of the high durability of The Good Stuff's products, the Ministry of Education has asked Peter and Alexander to make a bid to supply desks and chairs to 100 government-owned high schools in Elsmere. The government has a procurement policy that requires service providers to do competitive bidding, especially if they are classified as small businesses.

- (a) Outline TWO challenges that The Good Stuff could experience if it were to win the bid to supply desks and chairs to 100 government-owned schools.

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[4 marks]

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- [illegible]

- Discuss the THREE types of assistance that Peter and Alexander would need in order to expand their small business if they are awarded the contract.**

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[illegible]

Total 25 marks

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.

